

Schedule K-1 (Form 1065) — 2025

Palouse Engineering Partners LLP · EIN 82-3391744

Part I — Information About the Partnership

Item	Detail
A Partnership EIN	82-3391744
B Partnership name/address	Palouse Engineering Partners LLP, 105 E Trent Ave, Suite 200, Spokane WA 99202
C IRS center	e-file
D Publicly traded partnership	No

Part II — Information About the Partner

Item	Detail
E Partner TIN	XXX-XX-8091
F Partner name/address	Gus Pendergast, 4417 S Pinecliff Ln, Spokane, WA 99223
G Partner type	Limited partner or other LLC member
H Domestic/foreign	Domestic partner
I1 Entity type	Individual
J Profit/loss/capital	6.25% / 6.25% / 6.25%

Part III — Partner's Share of Current Year Income, Deductions, Credits

Box	Description	Amount
1	Ordinary business income (loss)	24,000.00
2	Net rental real estate income (loss)	—
4	Guaranteed payments	—
5	Interest income	320.00
6a	Ordinary dividends	410.00
6b	Qualified dividends	—
9a	Net long-term capital gain (loss)	—
14	Self-employment earnings (loss)	0.00
19	Distributions	18,000.00
20	Other information	Z* (see §199A statement)

Box 14 self-employment earnings are zero for a limited partner's distributive share. Box 20 code Z amounts are detailed in the section 199A statement.

Section 199A Statement (Box 20, Code Z)

Item	Amount
Qualified business income (ordinary)	24,000.00
W-2 wages of the trade or business	186,400.00
UBIA of qualified property	412,000.00
Business activity code (NAICS)	541330
SSTB (specified service trade or business)	No — engineering

Partner's Capital Account Analysis

Item	Amount
Beginning capital account	96,400.00
Capital contributed during year	0.00
Current year net income	24,730.00
Withdrawals and distributions	(18,000.00)
Ending capital account	103,130.00

Partner's Outside Basis / At-Risk Worksheet

Item	Amount
Beginning outside basis	96,400.00
Plus: ordinary income (box 1)	24,000.00
Plus: interest income (box 5)	320.00
Plus: dividends (box 6a)	410.00
Less: distributions (box 19)	(18,000.00)
Ending outside basis	103,130.00
Amount at risk	103,130.00

Quarterly Distribution Detail

Date	Description	Amount
2025-03-20	Partner cash distribution	4,500.00
2025-06-20	Partner cash distribution	4,500.00
2025-09-20	Partner cash distribution	4,500.00
2025-12-20	Partner cash distribution	4,500.00
Total		18,000.00

Partnership Footnotes

The partnership is engaged in civil and structural engineering consulting (NAICS 541330).

Amounts shown are the partner's distributive share for the tax year ended December 31, 2025.

The partner holds a limited partnership interest (Part II, item G) and is not a managing member of the LLP.

Section 199A amounts are reported in the statement provided so the partner can determine any applicable qualified business income deduction.

Box 19 distributions represent cash distributed to the partner during the year and are not, by themselves, items of taxable income.

Partner's Instructions for Schedule K-1 — Selected Codes

Box 1 — Ordinary business income (loss). Report on Schedule E, Part II. The character as passive or nonpassive depends on the partner's participation in the activity.

Box 2 — Net rental real estate income (loss). Generally a passive activity amount reported on Schedule E and subject to the passive activity loss rules.

Box 4 — Guaranteed payments. Payments for services or use of capital, generally reported as ordinary income; not applicable here.

Box 5 — Interest income. Report on Schedule B. Portfolio interest retains its character in the partner's hands.

Box 6a / 6b — Dividends. Ordinary dividends are reported on Schedule B; the qualified portion, if any, may be eligible for reduced rates.

Box 9a — Net long-term capital gain. Report on Schedule D; not applicable for this partner this year.

Box 14 — Self-employment earnings. A general partner's distributive share is generally self-employment income; a limited partner's distributive share generally is not.

Box 19 — Distributions. Cash and property distributed to the partner; reduces outside basis and is generally not taxable to the extent of basis.

Box 20, Code Z — Section 199A. Provides the qualified business income, W-2 wages, and UBIA needed to compute any section 199A deduction at the partner level.

Passive vs. nonpassive. Income from a trade or business in which the partner does not materially participate is passive. Passive losses are deductible only against passive income, subject to the rules of section 469.

Basis limitation. Losses and deductions are allowed only to the extent of the partner's outside basis; amounts in excess are carried forward.

At-risk limitation. Separately, losses are allowed only to the extent the partner is at risk in the activity under section 465.

Section 199A wage/UBIA limit. Above the applicable taxable-income threshold, the deduction for a non-SSTB is limited by W-2 wages and the unadjusted basis of qualified property.

State reporting. The partnership operates in Washington, which does not impose a personal income tax on this income; no state K-1 is provided.

Partner's Instructions for Schedule K-1 — General Information

Purpose of Schedule K-1. The partnership uses Schedule K-1 to report your share of the partnership's income, deductions, credits, and other items. Keep it for your records; do not file it with your return unless instructed. Report each item on the appropriate part of your return.

Inconsistent treatment. If your treatment of an item is or may be inconsistent with the partnership's treatment, you may be required to file Form 8082, Notice of Inconsistent Treatment, to identify the inconsistency.

Limitations on losses. Your distributive share of partnership losses may be limited by your basis in the partnership interest, the at-risk rules, and the passive activity loss rules, in that order. Amounts disallowed by a limitation are generally carried forward.

Basis rules. Generally, you may not claim your share of a partnership loss to the extent it exceeds the adjusted basis of your partnership interest at the end of the year. Basis is increased by contributions and your share of income and decreased by distributions and your share of losses and deductions.

At-risk rules. Generally, if you have a loss from an activity and amounts in the activity for which you are not at risk, you must complete Form 6198 to figure your allowable loss.

Passive activity limitations. Section 469 limits the deduction of losses from passive activities. A passive activity is a trade or business in which you do not materially participate; rental activities are generally passive. Passive losses are deductible only against passive income, with limited exceptions; disallowed losses carry forward.

Material participation. You materially participate if you are involved in the operations of the activity on a regular, continuous, and substantial basis. A limited partner generally is treated as not materially participating except in limited circumstances.

Self-employment earnings. A general partner's distributive share of ordinary trade or business income is generally net earnings from self-employment. A limited partner's distributive share generally is not, although guaranteed payments for services are.

Net investment income tax. Certain net investment income, including income from a passive trade or business and most portfolio income, may be subject to the net investment income tax. Use Form 8960 to figure the tax.

Qualified business income deduction. If the partnership reports section 199A information, you may be able to claim a deduction equal to a percentage of qualified business income, subject to taxable-income thresholds and, above them, limits based on W-2 wages and the unadjusted basis of qualified property. Use Form 8995 or Form 8995-A.

Distributions. Cash distributions reduce the basis of your partnership interest and are generally not taxable to the extent of basis. Distributions in excess of basis may result in gain.

Partner's Instructions for Schedule K-1 — Specific Items

Box 1 — Ordinary business income (loss). The amount is generally nonpassive if you materially participate and passive otherwise. Report on Schedule E, Part II, in the appropriate passive or nonpassive column. If passive, the passive activity rules apply.

Box 5 — Interest income. Generally portfolio income reported on Schedule B. It is not passive income for purposes of the passive activity rules.

Box 6a and 6b — Dividends. Ordinary dividends are reported on Schedule B. The qualified portion may be eligible for reduced rates if holding-period requirements are met.

Box 19 — Distributions. Code A is cash and marketable securities. Reduce your outside basis by the amount of the distribution; gain may result only if distributions exceed basis.

Box 20, Code Z — Section 199A. The statement provides qualified business income, W-2 wages, and unadjusted basis immediately after acquisition (UBIA). Use these to figure your section 199A deduction; the partnership does not compute the deduction for you.

Capital account vs. basis. Your tax-basis capital account shown in Part II is not necessarily the same as your outside basis. Maintain a separate computation of your outside basis to apply the loss limitations.

Sale of partnership interest. If you dispose of your interest, gain or loss is generally capital, but a portion may be ordinary under section 751 for your share of certain assets.

State considerations. Items may be subject to tax in states where the partnership operates. The partnership operates in a state without a personal income tax on this income; consult a tax adviser regarding your residency.

Codes for Box 20 — Other Information

Code	Description
A	Investment income
B	Investment expenses
AA	Section 704(c) information
AB	Section 751 gain (loss)
AE	Excess taxable income
AF	Excess business interest income
N	Business interest expense
Z	Section 199A information
AG	Gross receipts for section 448(c)
AH	Other information

Only the codes relevant to this partner are populated on the K-1; code Z (section 199A) applies for this partner and is detailed in the section 199A statement.

Codes for Box 13 — Other Deductions (reference)

Code	Description
A	Cash contributions (60%)
G	Cash contributions (30%)
W	Other deductions
ZZ	Other

Partnership Reconciliation — Schedule L and M-2 (Partner Share)

Analysis of Partner's Tax Capital (Schedule M-2 basis)

Item	Amount
Capital, beginning of year	96,400.00
Capital contributed	0.00
Net income (loss) per books	24,730.00
Other increases	0.00
Distributions (cash)	(18,000.00)
Capital, end of year	103,130.00

Partner Share of Partnership Balance Sheet (Schedule L, memo)

Item	Beginning	Ending
Assets (partner share)	118,900.00	126,300.00
Liabilities (partner share)	22,500.00	23,170.00
Capital (partner share)	96,400.00	103,130.00

Section 199A — Component Detail (informational)

Activity	QBI	W-2 wages	UBIA	SSTB?
Palouse Engineering (ordinary trade/business)	24,000.00	186,400.00	412,000.00	No

These components are provided so the partner can determine any section 199A deduction at the individual level. The partnership does not compute the partner's deduction. Engineering services are not a specified service trade or business.

Reported Self-Employment Earnings (Box 14)

Box 14 (self-employment earnings) is reported as zero for this partner. Box 1 reports the partner's distributive share of ordinary business income; the general rules for characterizing partnership income are summarized in the Partner's Instructions above.

The partner should apply those rules to the partner's own facts when preparing the return. The partnership does not determine the partner's individual tax treatment.

Codes for Boxes 11, 13, 15, and 17 (reference)

Box 11 — Other income (loss)

Code	Description
A	Other portfolio income (loss)
B	Involuntary conversions
C	Section 1256 contracts and straddles
F	Section 743(b) positive adjustments
I	Other income (loss)

Box 15 — Credits

Code	Description
A	Low-income housing credit (section 42(j)(5))
C	Other rental real estate credits
P	Other credits

Box 17 — Alternative minimum tax (AMT) items

Code	Description
A	Post-1986 depreciation adjustment
B	Adjusted gain or loss
C	Depletion (other than oil and gas)
F	Other AMT items

These boxes are not populated for this partner this year; the reference is provided for completeness.

How to Report Each K-1 Item on Your Return

K-1 item	Amount	Generally reported on
Box 1 — Ordinary business income	24,000.00	Schedule E, Part II
Box 5 — Interest income	320.00	Schedule B, Part I
Box 6a — Ordinary dividends	410.00	Schedule B, Part II
Box 19 — Distributions	18,000.00	Reduces outside basis (not income)
Box 20Z — Section 199A	see statement	Form 8995 / 8995-A

The passive or nonpassive character of the box 1 amount and the computation of any section 199A deduction are determined at the partner level based on the partner's overall facts.

Partner Capital Account — Multi-Year History

Year	Beginning	Net income	Distributions	Ending
2022	78,900.00	21,400.00	(15,000.00)	85,300.00
2023	85,300.00	22,100.00	(16,000.00)	91,400.00
2024	91,400.00	22,000.00	(17,000.00)	96,400.00
2025	96,400.00	24,730.00	(18,000.00)	103,130.00

Partnership Activity Narrative

Palouse Engineering Partners LLP provides civil and structural engineering consulting services to public and private clients in the Inland Northwest. The partnership uses the accrual method of accounting.

The partner holds a limited interest acquired in 2019 and does not participate in day-to-day operations. Distributions are made quarterly based on available cash and partner capital accounts.

The partnership's section 199A trade or business is not a specified service trade or business; engineering is specifically excluded from that category.

Reconciliation of Partner's Share — Income per Books to K-1

Item	Amount
Ordinary business income (box 1)	24,000.00
Interest income (box 5)	320.00
Ordinary dividends (box 6a)	410.00
Total income items per K-1	24,730.00
Separately stated deductions	0.00
Net income per books (partner share)	24,730.00
Timing/permanent differences	0.00
Taxable income items (partner share)	24,730.00

For this partner there are no book-tax timing or permanent differences; income per books equals the sum of the separately and non-separately stated taxable items.

Glossary of Partnership Terms

Distributive share. The partner's share of each partnership item, determined under the partnership agreement, whether or not actually distributed.

Outside basis. The partner's basis in the partnership interest, adjusted for contributions, income, losses, and distributions; it limits deductible losses.

Passive activity. A trade or business in which the partner does not materially participate, or a rental activity; losses are limited under section 469.

Material participation. Regular, continuous, and substantial involvement in the operations of an activity; limited partners rarely meet the standard.

Guaranteed payment. A payment to a partner for services or capital determined without regard to partnership income; treated as ordinary income and, for services, as self-employment income.

UBIA. Unadjusted basis immediately after acquisition of qualified property, used in the section 199A wage/UBIA limitation.

Qualified business income. The net amount of qualified items of income, gain, deduction, and loss from a qualified trade or business, used to compute the section 199A deduction.

Section 751 property. Unrealized receivables and inventory items that can cause ordinary income on the sale of a partnership interest.